Supply Chain Risk Assessment Report — Q2 2026

Document ID: EN-REP-05 **Department:** Supply Chain and Logistics / Procurement **Reporting Period:** Q2 2026 **Prepared By:** Supply Chain Risk Team **Distribution:** Internal — Executive Committee

1. Executive Summary

This report presents the quarterly risk assessment of Meridian Holdings Group's key supplier relationships and logistics routes. Two suppliers were downgraded to "Elevated Risk" status during Q2 2026 due to financial stability concerns, and one logistics route experienced significant disruption due to port congestion. No supply interruptions affecting customer fulfilment occurred during the quarter.

2. Supplier Risk Ratings

2.1 Of the Company's 45 Tier 1 suppliers, 38 are rated Low Risk, 5 are rated Elevated Risk, and 2 are rated High Risk as of the end of Q2 2026, based on the Supplier Risk Scoring Methodology covering financial stability, geographic concentration, single-source dependency, and historical delivery performance.

2.2 Two suppliers of packaging materials were downgraded from Low Risk to Elevated Risk following a review of their published financial statements, which indicated declining liquidity ratios. Both suppliers have been placed on enhanced monitoring, with monthly financial health checks scheduled through Q3 2026.

3. Logistics Route Disruption

3.1 The primary shipping route used for goods sourced from South and East Asian suppliers experienced significant congestion at the transhipment port during May 2026, resulting in average delays of nine days for affected shipments.

3.2 The Procurement Department activated the contingency plan for affected orders, temporarily rerouting time-sensitive shipments through an alternative port at an estimated additional cost of £42,000 for the quarter, avoiding disruption to customer order fulfilment.

4. Single-Source Dependencies

4.1 The risk assessment identified three critical components sourced from a single supplier with no qualified alternative currently on file. The Procurement Department has been tasked with qualifying at least one alternative supplier for each of these components by the end of Q3 2026.

5. Geographic Concentration

5.1 62% of Tier 1 suppliers by spend are concentrated in a single geographic region, representing a continuing structural risk that the Executive Committee has previously flagged for medium-term diversification, in line with the Company's 2025-2027 Supply Chain Resilience Strategy.

6. Recommendations

6.1 Accelerate supplier diversification for the three single-source components identified in Section 4, prioritising by revenue impact.

6.2 Maintain enhanced monitoring of the two Elevated Risk suppliers identified in Section 2.2 and prepare contingency sourcing options should either supplier's rating deteriorate further.

7. Approval

Submitted to the Executive Committee by the Head of Supply Chain and Logistics on 12 July 2026.